

Rollins Inc. (ROL) - DCF Equity Valuation

BUY**Target: \$55.30****Upside: +3.8%****WACC: 7.6%****Exit: 25x EV/EBITDA**

Implied Share Price

\$55.30

Current Price

\$53.26

Upside / Downside

+3.8%

Recommendation

BUY

Valuation Snapshot

Enterprise Value	\$27.2B
Equity Value	\$26.8B
Implied Share Price	\$55.30
Current Price	\$53.26
Upside	+3.8%
PV of FCFs (5yr)	\$3,530M
PV of Terminal Value	\$23,705M

Key Assumptions

WACC	7.6%
Exit EV/EBITDA Multiple	25x (vs 31x current)
Terminal Growth Rate	2.5%
Tax Rate	25.0%
D&A % Revenue	3.3%
Capex % Revenue	0.8%
ΔNWC % Incremental Revenue	-4.0%

Investment Highlights

- Recurring, non-discretionary demand - highly predictable revenue
- Asset-light model: capex <1% of revenue drives strong FCF conversion
- Pricing power + route density enable steady ~20bps/yr margin expansion
- Structurally negative NWC: customers pay before services rendered
- Premium multiple (31x EV/EBITDA) limits margin of safety

Key Modeling Insight

NWC Adjustment - Commercial Paper Exclusion

2025 Current Liabilities included \$114M of commercial paper (short-term financing instrument, ROL 10-K FY2025). This was excluded from operating NWC calculation to isolate true operating working capital dynamics. Without this adjustment, ΔNWC would show a misleading +\$110M cash outflow instead of the correct ~(\$3.7M) operating movement.

Revenue Build - Management-Anchored

Organic growth of 7.5% in 2026E sourced directly from management guidance of 7-8% (ROL 10-K FY2025 forward-looking statements). Not extrapolated - explicitly cited.

Sensitivity Analysis - Implied Share Price by WACC x Exit Multiple

WACC	20x	22x	25x	27x	28x
6.5%	\$47.8	\$51.9	\$58.1	\$62.2	\$64.3
7.0%	\$46.8	\$50.8	\$56.8	\$60.8	\$62.8
7.6% (Base)	\$45.5	\$49.4	\$55.3	\$59.2	\$61.2
8.0%	\$44.7	\$48.6	\$54.3	\$58.2	\$60.1
8.5%	\$43.7	\$47.5	\$53.1	\$56.9	\$58.8

Price > \$53.26 (upside)

Price < \$53.26 (downside)

Base case (7.6% WACC, 25x)

Buy thesis holds in 17 of 25 scenarios

Conclusion:

Rollins appears modestly undervalued with ~3.8% upside. Business quality supports premium multiples, but terminal value sensitivity limits upside asymmetry. Downside requires WACC >= 7.6% AND multiple <= 22x simultaneously.

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Sources: ROL 10-K FY2025 (SEC EDGAR), Damodaran Implied ERP 2026, Yahoo Finance Beta 5Y Monthly, Seeking Alpha

March 2026

Revenue Build (Organic + Acquisition Driven)						
	2025A	2026E	2027E	2028E	2029E	2030E
Organic Growth (%)		7.5%	7.0%	6.5%	6.0%	5.5%
Acquisition Growth (%)		3.0%	3.0%	2.5%	2.5%	2.0%
Total Growth (%)		10.5%	10.0%	9.0%	8.5%	7.5%
Revenue (\$M)	3,761.1	4,156.0	4,571.6	4,983.0	5,406.6	5,812.0

Organic growth of 7.5% in 2026E anchored to management guidance of 7–8% organic revenue growth (Source: ROL 10-K FY2025 forward-looking statements, midpoint of guided range). Gradual deceleration to 5.5% by 2030E reflects business maturity and market saturation in core geographies.

Acquisition growth reflects a consistent bolt-on M&A strategy, contributing ~2–3% annually with slight tapering as scale increases.

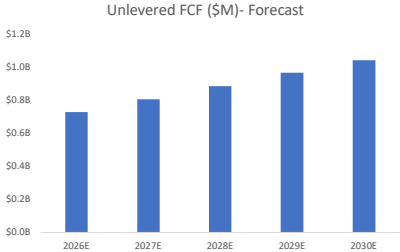
EBIT Forecast (Margin Bridge)						
	2025A	2026E	2027E	2028E	2029E	2030E
EBIT Margin (%)	19.3%	19.5%	19.7%	19.9%	20.1%	20.2%
EBIT (\$M)	726.1	810.6	900.8	991.9	1,087.0	1,174.3

Historical EBIT margin expanded ~80 bps over 2021–2025 (18.5% to 19.3%), implying ~20 bps/year; forecast assumes continuation of this rate through 2028 before tapering as the business approaches scale maturity.

EBIT margin expansion of ~20bps per year reflects operating leverage from route density improvements and pricing power, partially offset by labour cost inflation and acquisition integration drag. Final year tapers to +10bps reflecting approach toward structural margin ceiling.

Unlevered Free Cash Flow (UFCF)						
	2025A	2026E	2027E	2028E	2029E	2030E
EBIT (\$M)	726.1	810.6	900.8	991.9	1087.0	1174.3
Tax Rate (%)	25%	25%	25%	25%	25%	25%
NOPAT (\$M)	544.6	608.0	675.6	743.9	815.2	880.7
D&A (\$M)	124.1	137.1	150.9	164.4	178.4	191.8
Capex (\$M)	30.1	33.2	36.6	39.9	43.3	46.5
ΔNWC (\$M)	3.7	(15.8)	(16.6)	(16.5)	(16.9)	(16.2)
Unlevered FCF (\$M)	634.9	727.7	806.5	884.9	967.3	1,042.3
EBITDA	850.2	947.8	1,051.7	1,156.3	1,265.4	1,366.1
Discounting Factor	0.93	0.86	0.80	0.75	0.69	
PV of FCF		676.4	696.9	710.8	722.3	723.4

Unlevered Free Cash Flow (UFCF)					
	2026E	2027E	2028E	2029E	2030E
Unlevered FCF (\$M)	727.7	806.5	884.9	967.3	1,042.3



WACC			
Component	Value	Source	Remarks if any
Risk-free rate	4.28%	10Y Treasury	
Equity risk premium	4.30%	Damodaran (Implied ERP, 2026)	Forward-looking, market-implied risk premium; reflects current pricing vs
Beta	0.8	Yahoo finance	5Y Monthly
Cost of debt (Pre-Tax)	5.5%	Rollins 10K	
Capital structure			
- Equity	96.0%	Seeking Alpha	
Cost of Equity	7.7%		
WACC	7.6%		

WACC of ~7.6% reflects Rollins’ equity-heavy capital structure, with valuation primarily driven by cost of equity.

Terminal Growth Assumption		
Scenario	g	Rationale
Bear	2.00%	Real GDP; conservative, no pricing power
Base	2.50%	Long-term nominal GDP (real + inflation)
Bull	3.00%	Reflects pricing power + market share gains

Terminal growth is capped at or below long-run nominal GDP to ensure economic realism and avoid overvaluation.

Given Rollins’ recurring revenue model and pricing power, a base case of 2.5% is reasonable but not aggressive

Exit Multiple (EV/EBITDA)	
Rollins currently trades at 31x EV/EBITDA as of March 2026, reflecting a quality premium for its recurring revenue model, Orkin brand, and negative NWC structure	

Terminal value assumes multiple compression to 25x, a 19% discount to current trading, reflecting: (1) normalisation of post-COVID pest control demand tailwinds, (2) increased competition from Rentokil/Terminix post-consolidation, (3) standard DCF conservatism of not projecting peak multiples in The 25x exit multiple implies a terminal FCF yield of ~4.3%, consistent with the Gordon Growth model output at g=2.5% and WACC=7.6%, providing methodological cross-validation.

	Bear	Base	Bull
Exit EV/EBITDA Multiple	20x	25x	28x
Rationale	Sector Median	19% discount to current	10% discount to current
Gordon Growth rate	2.0%	2.5%	3.0%
TV- Exit Multiple (\$M)	27,322.3	34,152.9	38,251.3
Discount Factor (5Y)	0.69	0.69	0.69
PV of TV (\$M)	18,964.3	23,705.4	26,550.0
TV- Gordon Growth (\$M)	19,065.0	21,045.6	23,458.9
PV of TV (\$M)	13,233.0	14,607.6	16,282.7

Terminal value is discounted using WACC over a 5-year horizon; exit multiple method is used for valuation, while Gordon Growth serves as a cross-check.

Terminal value is based on a 25x EV/EBITDA exit multiple, representing ~20% discount to current trading levels to reflect normalization and conservatism.

Gordon Growth (g=2.5%) implies ~\$21.0B and is used as a cross-check; the lower value reflects sensitivity to the WACC–g spread. The exit multiple remains the primary method given its alignment with observable market benchmarks.